SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 2

# Analyzing the Marketing Environment: Good Strategy, VRIO & 5C

Before building marketing strategy, diagnose the situation. This week covers good strategy (Rumelt), finding competitive advantage with VRIO, and mapping the situation with the 5Cs. Main case: Unilever in Brazil — should the detergent giant target low-income consumers?

## Material

### 1 What is good strategy?

Rumelt's kernel: **diagnosis** (what's the real challenge), **guiding policy** (the overall approach), **coherent actions** (mutually reinforcing steps). Bad strategy is slogans, targets or disconnected programs. Customers want solutions — rivals can offer them too — so advantage comes from solutions plus meaningful experience that is hard to copy.

### 2 VRIO: from resources to competitive advantage

VRIO tests resources: **Valuable**, **Rare**, **Inimitable**, **Organized**. Failing V = disadvantage; V only = parity; V+R = temporary advantage; V+R+I without O = unused advantage; all four = sustained advantage. Hard-to-copy assets are usually brands, networks, culture and customer insight.

### 3 VRIO as a decision tree Deep dive

Valuable? → Rare? → Inimitable? → Organised?

→ Sustained advantage

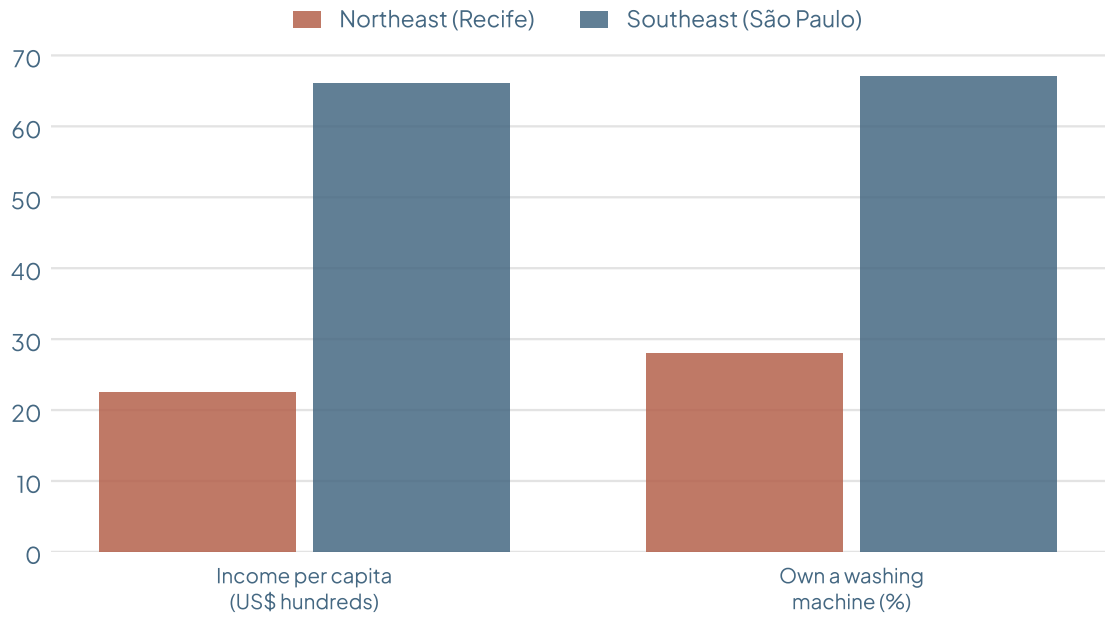
| Resource | Result |
|---|---|
| Omo brand | Sustained |
| Formulation tech | Parity |
| Small-store distribution | Must be built |
| Low-income consumer insight | Sustained |

## 4 Situation analysis and the 5Cs

**5Cs:** Company (strengths, resources), Collaborators (suppliers, distributors, partners), Customers (needs, behaviour, buying power), Competitors (direct, indirect, substitutes), Climate (PESTEL). They reveal internal/external patterns and feed SWOT and the strategic diagnosis — essentially Kotler's micro- and macro-environment (ch. 3).

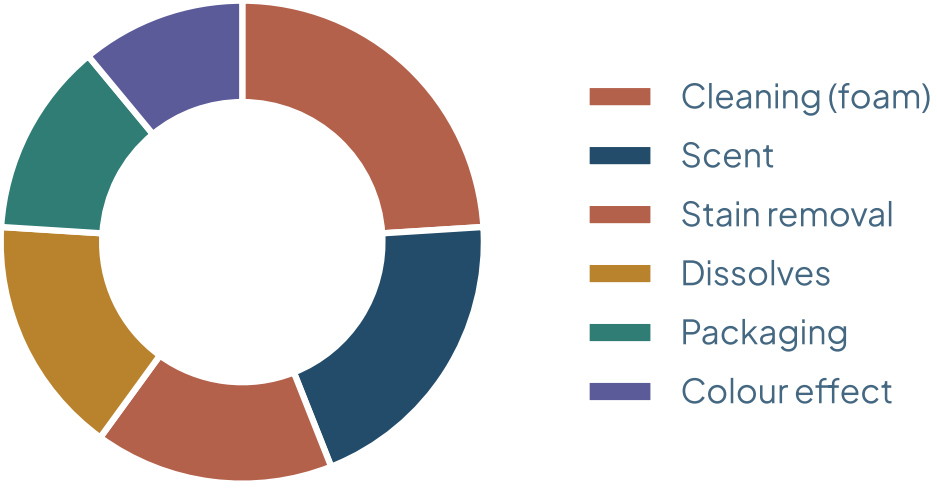
## 5 Northeast Brazil consumer data charted Deep dive

### Northeast vs Southeast Brazil




Income ~$2,250 vs ~$6,600 (÷100).

### Most important detergent attributes (NE)



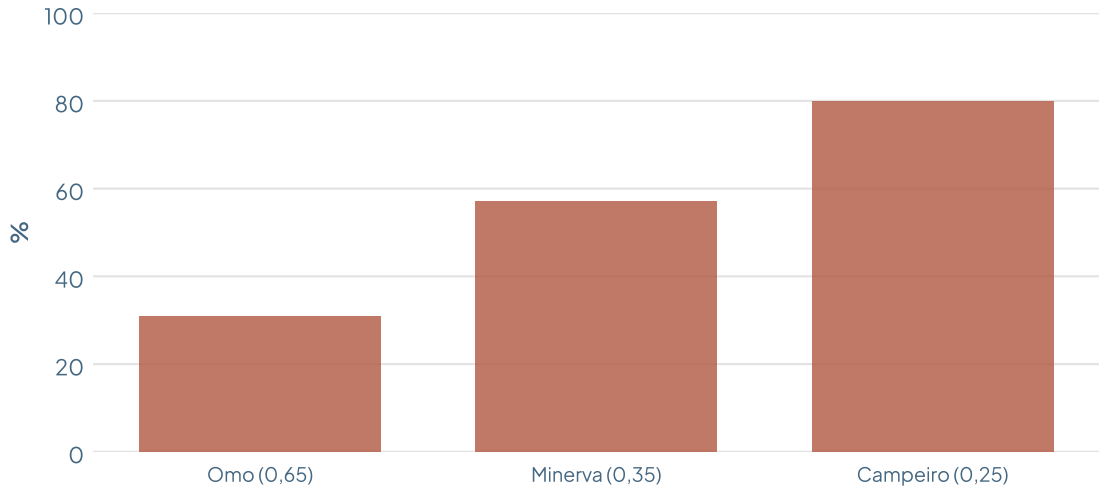

Cleaning power and scent are 44% of importance.

### How much cannibalisation is safe?

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Break-even cannibalisation = new margin ÷ cannibalised margin
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With an illustrative new margin of 0.20, the limit vs Omo (0.65) is ~31%.

**Break-even cannibalisation if the new margin is 0.20**




Illustrative new margin; higher old margins tolerate less cannibalisation.

## Key takeaways

1. Good strategy = diagnosis + guiding policy + coherent actions.
2. Advantage = solutions + meaningful experience that's hard to copy.
3. VRIO: Valuable, Rare, Inimitable, Organized — all four = sustained advantage.
4. 5Cs: Company, Collaborators, Customers, Competitors, Climate.
5. Understand real behaviour through field research.
6. Break-even cannibalization = new margin ÷ cannibalized margin.
7. Low-income markets need a redesigned mix, not a shrunken premium product.

# Case studies

Case & worked answers

## Case 1: Unilever in Brazil (1997–2007) — strategy for low-income consumers

**Situation:** Unilever held 81% of Brazil's powder market; growth lay in 48m low-income Northeasterners. Laercio's "Everyman" field research met internal resistance over cannibalization and brand image.

**5C:** NE customers earn ~$2,250 per capita, mostly hand-wash with bar soap and bleach, add powder for scent, wash 5×/week socially, and see cleanliness as pride; key attributes: cleaning power (foam) 24%, smell 20%, stain removal 16%, dissolving 16%, packaging 13%, colours 11%. Unilever has Omo's equity but no NE small-store reach; P&G and local brands threaten (cf. Nirma in India); specialized distributors cost $0.05/kg vs $0.10; Plano Real boosted the poor's buying power.

**VRIO:** Omo equity and scale = advantages; R&D = parity; NE insight = potential advantage; NE distribution = gap to close.

**Cannibalization:** margins/kg Omo $0.65, Minerva $0.35, Campeiro $0.25. Illustratively, a new brand at ~$0.40/kg breaks even if under ~62% of its volume comes from Omo (break-even rate = new margin ÷ cannibalized margin).

**Strategy:** new trusted brand for hand-washing (foam, scent, stain removal), smaller packs that still look quality, price between Campeiro and Minerva, culturally resonant mostly below-the-line communication, specialized distributors. Unilever later launched **Ala** this way. Lesson for Indonesia: field-based diagnosis, a clear guiding policy, coherent actions.

## Worked examples

Problem 1 · Medium **Kanibalisasi impas**

Merek baru memberi margin Rp4.000/unit. Setiap pembeli merek baru yang sebelumnya membeli merek lama menghilangkan margin Rp10.000. (a) Berapa tingkat kanibalisasi maksimum agar tetap untung? (b) Jika 100 unit merek baru terjual dan 50 di antaranya dari pembeli merek lama, untung atau rugi?

1. `Kanibalisasi impas = margin merek baru ÷ margin yang tergerus = 4.000 ÷ 10.000 = 40%`
2. (b) Tambahan margin = 100 × 4.000 = 400.000.
3. Margin yang hilang = 50 × 10.000 = 500.000.
4. Bersih = 400.000 – 500.000 = –100.000. Kanibalisasi 50% di atas batas 40%.

**Answer:** Batas 40%. Dengan kanibalisasi 50%, perusahaan rugi Rp100.000.

## Practice questions

Try answering first. The answer key is below each question.

**1. Valuable and rare but easy to imitate gives…**

A. Disadvantage
B. Parity
C. Temporary advantage
D. Sustained advantage

**Answer: C.** Rivals will catch up.

**2. New margin 0.20, Omo 0.65. Break-even cannibalisation ≈ …**

A. 20%
B. 31%
C. 65%
D. 80%

**Answer: B.** 0.20/0.65.

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**3. The most important attribute for NE consumers is…**

A. Packaging
B. Cleaning power (foam)
C. Colour
D. Dissolving

**Answer: B.** 24%, then scent 20%.

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**4. In the 5Cs, collaborators are…**

A. End customers
B. Partners such as distributors and suppliers
C. Rivals
D. Staff only

**Answer: B.** Distributors for 75,000 stores.

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**5. Per Rumelt, a hallmark of bad strategy is…**

A. Clear diagnosis
B. Fluffy goals that dodge the core problem
C. Coherent action
D. Leverage

**Answer: B.** Kernel: diagnosis, guiding policy, coherent action.

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### Sources

- -P3MD- Week 2-MK3.pdf
- Case 1 - Unilever in Brazil 1997–2007 (INSEAD)
- Kotler & Armstrong bab 3